

FinTech Enterprise Finance



PB Fintech Limited

Company: PB Fintech Limited

Melwin Mathew

PB Fintech Ltd.

PB Fintech Ltd, popularly known as Policy Bazar is India's largest online platform for insurance and lending products through its flagship brands - Policybazaar and Paisabazaar platform through which they provide convenient access to insurance, credit and other financial products. The company operates an asset-light capital strategy and does not underwrite any insurance or retain credit risk on its books. It is registered with and regulated by IRDAI as an insurance broker in India and by the Central Bank of the UAE (CBUAE) in the UAE.

Company Overview

Business Platforms

PolicyBazaar

- The flagship brand, Policybazaar, is India's leading digital insurance marketplace, holding a **93% market share**.
- Primarily caters to middle-class families in India, offering protection against death, disease, and disability through products like health, term, motor, and travel insurance, etc.
- As of Q2 FY25, the platform has 86.9 million registered users, and 18.3 million active users, and has sold over 46.8 million insurance policies.

PaisaBazaar

- Paisabazaar is India's largest comparison platform for credit products, which serves 47 million+ consumers from 820+ cities & towns across India, representing 16% of India's active credit score consumers.
- It provides credit solutions to diverse consumer segments including SMEs, Super-Prime & Prime Salaried, SubPrime, and New-to-Credit.
- As of Q2 FY25, this platform has 5.8 million transacting consumers, with an average transaction of 8.3 Mn per customer.

PB Partners

- PB Partners is an enablement platform that provides a PaaS (Platform-as-a-Service) solution for insurance agents in India.
- It serves as a B2A2C (Business-to-Agent-to-Customer) platform for PoSP (Point of Sales Person), it helps over 2,50,000 partners manage insurance sales through technology as of Q2 FY25.

Organisation Structure

PB Fintech (PBF) has built India's largest online platform for insurance and lending products, according to Frost & Sullivan, leveraging the power of technology, data and innovation. Company provides convenient access to insurance, credit and other financial products and aims to create awareness amongst Indian households about the financial impact of death, disease and damage.

- **PolicyBazaar platform is an online platform for consumers and insurer partners** to, respectively, buy and sell core insurance products. *PolicyBazaar* offers consumers an information-rich, user-friendly, and tech-driven self-service platform for: i) pre-purchase research; ii) purchase, including application, inspection, medical check-up and payment; and iii) post-purchase policy management, including claims facilitation, renewals, cancellations and refunds.
- **PaisaBazaar is an independent digital lending platform** that enables consumers to compare, choose and apply for personal credit products. Its business model is based on resolving fundamental consumer concerns when accessing personal credit products. The algorithm-based technology platform provides consumers with access to multiple personal credit offers across all segments, data-driven product recommendations, comparison tools, unbiased advice on the most suitable offers and digital KYC processes that make loan and credit card applications seamless and convenient.
- **Docprime** is principally in the business inter alia: 1) supplying, marketing, promoting, selling, reselling, developing, facilitating and consulting services, and 2) acting as an agent, facilitator, collaborator, distributor, representative in all types and grades of healthcare, personal care, lifestyle, beauty, wellness, pharmaceutical and related products.
- **Icall Support Services Private Limited:** The principal business of *Icall* is to inter alia offer online and offline direct marketing in India and abroad.
- **Accurex Marketing and Consulting Private Limited:** Accurex is principally in the business of inter alia facilitating the platform for online and offline marketing solution services.
- **PB Marketing and Consulting Private Limited** is in the business of online, offline and direct marketing in India and abroad.
- **PB Fintech FZ – LLC** is engaged in the business of online marketing and consulting of insurance and non-insurance leads in the United Arab Emirates. Its operations were started in FY19.

Policybazaar funnel

- **Registered consumers:** 111.6 million, representing total sign-ups on the insurance marketplace since inception, which forms the top of the funnel for future policy purchases and renewals.
- **Transacting consumers:** 21.8 million, i.e., users who have bought at least one insurance policy via Policybazaar; this implies a conversion of roughly 19% from registered to transacting; highlighting meaningful monetization of the user base over time.
- **Policies sold:** 55.6 million cumulatively; translating to about 2.6 average policies per transacting consumer, which signals multi-product adoption and repeat purchases, such as renewals, add-ons, or cross-sell across motor, health, and term life.

Paisabazaar funnel

- **Consumers who accessed credit scores:** 52.7 million, a broad top-of-funnel engagement metric indicating users who have interacted with the platform's credit tools and pre-qualification journeys.
- **Transacting consumers:** 6.5 million; i.e., customers who completed at least one loan or card transaction; the funnel showcases the progression from engagement (credit score checks) to monetized transactions.
- **Transactions:** 9.5 million cumulatively, implying about 1.5 average transactions per transacting consumer, consistent with the nature of credit products where repeat frequency is typically lower than insurance renewals.

What the metrics imply

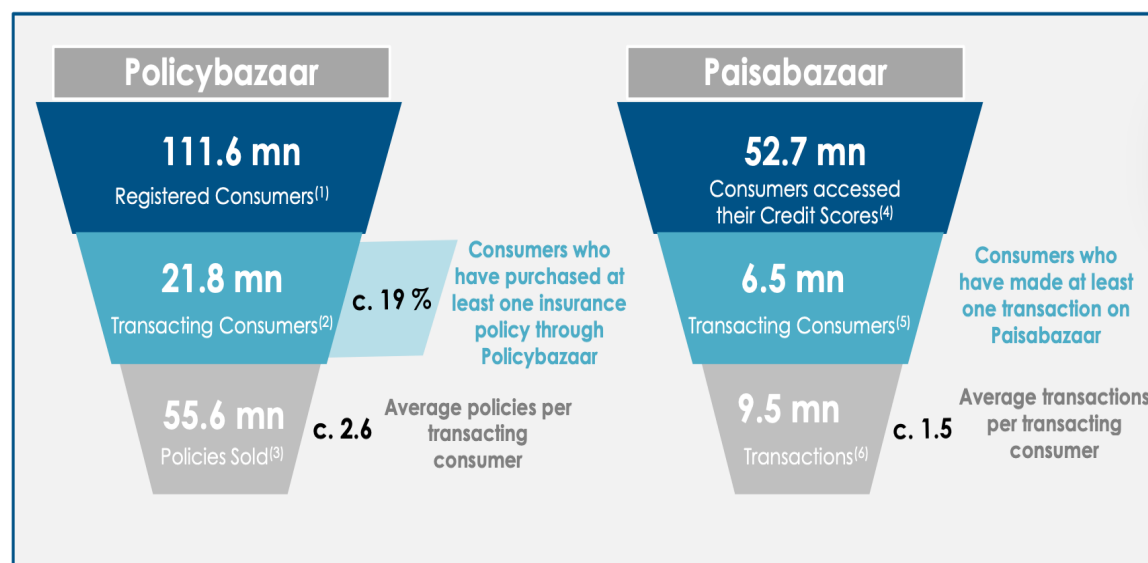
- **Scale and trust:** Very large registered and engaged user pools provide a durable lead pipeline for both platforms, increasing the probability of future conversions and renewals as the ecosystem matures.
- **Monetization efficiency:** Policybazaar's higher average policies per customer (2.6) and 19% conversion from registered to transacting indicate stronger repeat and cross-sell dynamics versus typical single-shot credit usage, which underpins renewal/trail revenue and margin compounding over time.
- **Cross-platform synergy:** Paisabazaar's wide top-of-funnel (credit score users) can be nurtured into transactions and potentially cross-sold insurance products; while Policybazaar's transacting base can be targeted with credit offers, enhancing lifetime value across the PB Fintech ecosystem.

Product Dynamics



policybazaar.com paisabazaar.com

Two leading consumer destinations



1. Consumers registered on Policybazaar platform as of June 30, 2025
2. Cumulative number of unique Consumers who bought at least one product on Policybazaar since its inception till June 30, 2025
3. Cumulative number of new life and non-life insurance policies sold and non-life insurance renewals on Policybazaar since its inception till June 30, 2025
4. Consumers who accessed their credit scores through Paisabazaar till June 30, 2025
5. Cumulative number of unique Consumers who made at least one transaction on Paisabazaar since its inception till June 30, 2025
6. Cumulative number of transactions made on Paisabazaar since its inception till June 30, 2025

Geographical Accessible Market

PB Fintech, the parent company of Policybazaar and Paisabazaar, has made significant strides in expanding its reach, both within India and internationally.

Domestic Diversification:

- In India, PB Fintech has built a strong domestic presence. As of late 2025, its agent aggregator platform, PB Partners, operates in 19,000 pin codes, covering 99% of the country. The company has aggressively entered Tier-4 and Tier-5 towns, extending its reach beyond major cities. Its platforms, Policybazaar (insurance) and Paisabazaar (lending), serve a wide range of consumers, from urban to rural markets. Recent data shows that Policybazaar remains the top insurance aggregator, helping millions of customers and partnering with over 50 insurance companies.
- PB Fintech has also expanded its operations in India beyond financial services. In 2025, it launched PB Health, an initiative to set up 25-30 hospitals in ten Indian cities, starting with four to five hospitals around New Delhi. This move into healthcare shows a clear commitment to use its financial services platform for the benefit of a wider audience.

International Diversification

Middle East:

- PB Fintech made its first significant international expansion in 2025 by starting Paisabazaar Middle East Marketing LLC in Dubai. This subsidiary aims to tap into the Middle Eastern fintech market and replicate the company's success in India globally. Additionally, the insurance business in the UAE (policybazaar.ae) has grown quickly, with premiums increasing 64% year-over-year and achieving profitability for three consecutive quarters. The focus in the Middle East includes health, life, and cross-border motor insurance products.

Other International Presence:

- PB Fintech began its international journey earlier by launching PB Fintech FZ-LLC in the UAE in 2018 and acquiring stakes in businesses like YKNP Marketing Management. It has also set up its wholly owned subsidiary, Zphin Computer Systems, to support its goals in international expansion and innovation. Ongoing investments and tailored product offerings strengthen its position in the global insurance and lending markets.

Share of Geographical Revenue (FY24-25)

PB Fintech's FY25 revenue data highlights a rapid expansion in both total revenue and the contribution from its UAE operations over the past year. As of March 31, 2025, total revenue grew to ₹4,97,721 lakh, up 44.8% compared to ₹3,43,768 lakh in FY24.

Revenue Growth by Geography:

India: Revenue rose 41.1% year-on-year, increasing from INR 33.5bn in FY24 to INR 47.3bn in FY25. India continues to be PB Fintech's primary market, contributing about 95% of total revenue in FY25 (down from 97.5% in FY24), reflecting robust growth in its core business.

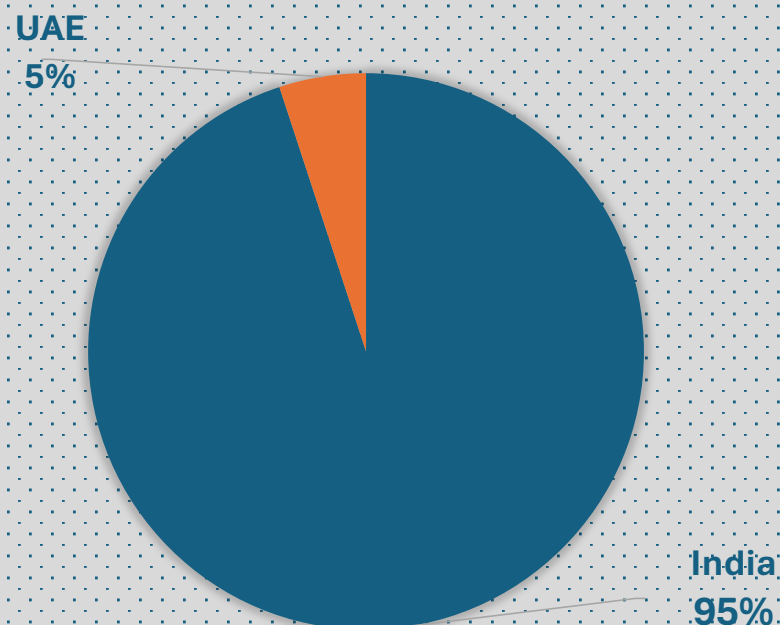
UAE:

The UAE segment demonstrated exceptional momentum, with revenue surging 187.8% from ₹872.4mn in FY24 to ₹2.5bn in FY25. This segment now represents 5% of PB Fintech's consolidated revenue, up from 2.5% a year ago, signifying early success of its international strategy.

Key Takeaways:

- The substantial rise in UAE revenue underscores PB Fintech's successful push into overseas markets, particularly in the Middle East, even as India remains the dominant region for the company's business.
- India's share has marginally declined in relative terms, but absolute growth remains strong, supporting the company's profits and overall expansion.
- The UAE segment's explosive growth rate and rising revenue share mark the start of more meaningful international diversification for PB Fintech.

SHARE OF GEOGRAPHICAL REVENUE (FY24-25)



Industry Overview

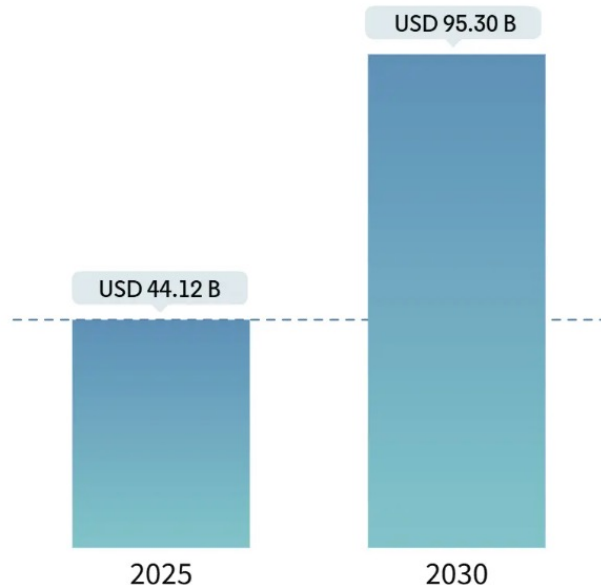
- India's online insurance and lending aggregation industry—where PB Fintech (Policybazaar, Paisabazaar) is the leader—features a dynamic mix of incumbents and challengers.
- The Indian fintech insurance sector and the broader fintech industry have a promising long-term outlook, marked by strong growth, innovation opportunities, and persistent challenges.
- The Indian fintech sector, valued at around **USD44bn in 2025**, is projected to **more than double by 2030, reaching approximately USD95bn** with a CAGR of about 16.65%.
- The insurtech segment specifically is expected to grow significantly, driven by increasing internet penetration, digital adoption, and regulatory reforms aimed at fostering innovation and inclusion.
- Digital lending, payments, wealthtech, and neobanking also contribute to a diversified fintech market with vast white space, especially in underserved rural and semi-urban areas.

Competitor	Segment Focus	Description
BankBazaar	Aggregation (both)	Combines insurance, credit cards, and lending aggregation.
InsuranceDekho	Digital insurance	Fast-rising digital insurance platform, aggressive in rural/agent-based reach.
Turtlemint	Digital insurance	Large agent-led digital insurance distributor with a pan-India network.
Coverfox	Insurance aggregation	Online insurance aggregator, more niche but digitally focused.
Acko	Digital insurer	New-age digital-first insurer, also direct-to-consumer challenger.
Renewbuy	Digital insurance	Expanding agent and online hybrid model, quickly growing.
Ditto	Online insurance	Focuses on digital advice-led insurance platform.
IndiaLends, CreditMantri	Lending/credit	Personal loan aggregation and credit assessment.

India Fintech Market

Market Size in USD Billion

CAGR 16.65%



Source : Mordor Intelligence



Market Overview

Study Period 2019 - 2030

Base Year For Estimation 2024

Forecast Data Period 2025 - 2030

Market Size (2025) USD 44.12 Billion

Market Size (2030) USD 95.30 Billion

Growth Rate (2025 - 2030) 16.65% CAGR

Market Concentration Medium

Major Players



*Disclaimer: Major Players sorted in no particular order

Total Addressable Market (TAM)

- PB Fintech (PB) has scaled up rapidly (FY21-25 premium CAGR of 49%), but it is still at ~2/4% of total sector premiums/commissions and ~8/11% of premiums/commissions of its addressable product markets (TAM). Product-wise, PB enjoys ~25% market share in term life, ~15-20% in retail health, ~7% in motor, and ~2% in savings. PB could continue to outpace the sector and deliver ~30% CAGR in commissions over FY25-30E as it reaches ~4/9% of sector premiums/commissions (~14/21% of TAM premiums/commissions). Post that, growth will be driven by moderate customer addition, premium inflation, higher cross-sell, and new product additions.
- The addressable market for D2C digital insurance intermediation is impacted by (1) low digital engagement by the largest PSU life insurer (~42% of industry premiums) and (2) the B2B nature of products, like group health, fire, crop, and marine (~14% of industry premiums), which are typically distributed through direct or corporate channels. However, these insurers and segments have lower growth rates compared to retail D2C lines where huge under-penetration keeps medium-term growth outlook intact.
- A POSP platform enabling ~350,000 agents/advisors to distribute insurance across 19,000+ PIN codes (covering nearly 99% of the country), targeting under-served markets. PB partners added motor CV business to PB's TAM, as this segment of motor was purely agent-led historically. It is now cross-selling smaller-ticket health and life through these networks and claims the highest proportion of non-motor business in the POSP industry. For FY25, Tier-2/3 cities accounted for 76% of the business, underscoring both strong adoption and significant headroom for growth. Regionally, the business-mix stood at 46% from North India, 19% from West India, 24% from South India, and 12% from East India.

Key Trends Transforming Insurance

Digital Distribution & Hybrid Models

- **Direct & Embedded Channels:** While agents remain dominant in life insurance sales, digital-first channels are rapidly growing in health, motor, and travel. Platforms like *Bima Sugam* and embedded models are driving convenience, scale, and affordability.
- **Hybrid Inclusion:** The future lies in blending digital efficiency with human trust, ensuring last-mile access in both metros and rural India.

GenAI & Tech-Led Underwriting

- **AI-Driven Risk Assessment:** From medical record analysis to wearables and usage-based motor insurance, underwriting is becoming dynamic and personalized.
- **Continuous Risk Profiling:** Real-time data streams from ABHA-linked health records, telematics, and lifestyle tracking enable fairer pricing and faster decision-making.

Seamless Claims & Renewals

- **National Health Claims Exchange (NHCX):** Standardized data and real-time validation are reducing settlement timelines from weeks to hours.
- **Renewal Innovation:** Predictive analytics and automated reminders are boosting policyholder persistency and reducing lapses.

Embedded & Contextual Insurance

- **Everyday Protection:** Insurance is being bundled with travel, loans, devices, and mobility services, making coverage seamless and affordable.
- **Global Momentum:** The embedded insurance market is projected to grow 7x by 2033, with Asia-Pacific leading adoption.

Innovation Trends and Challenges

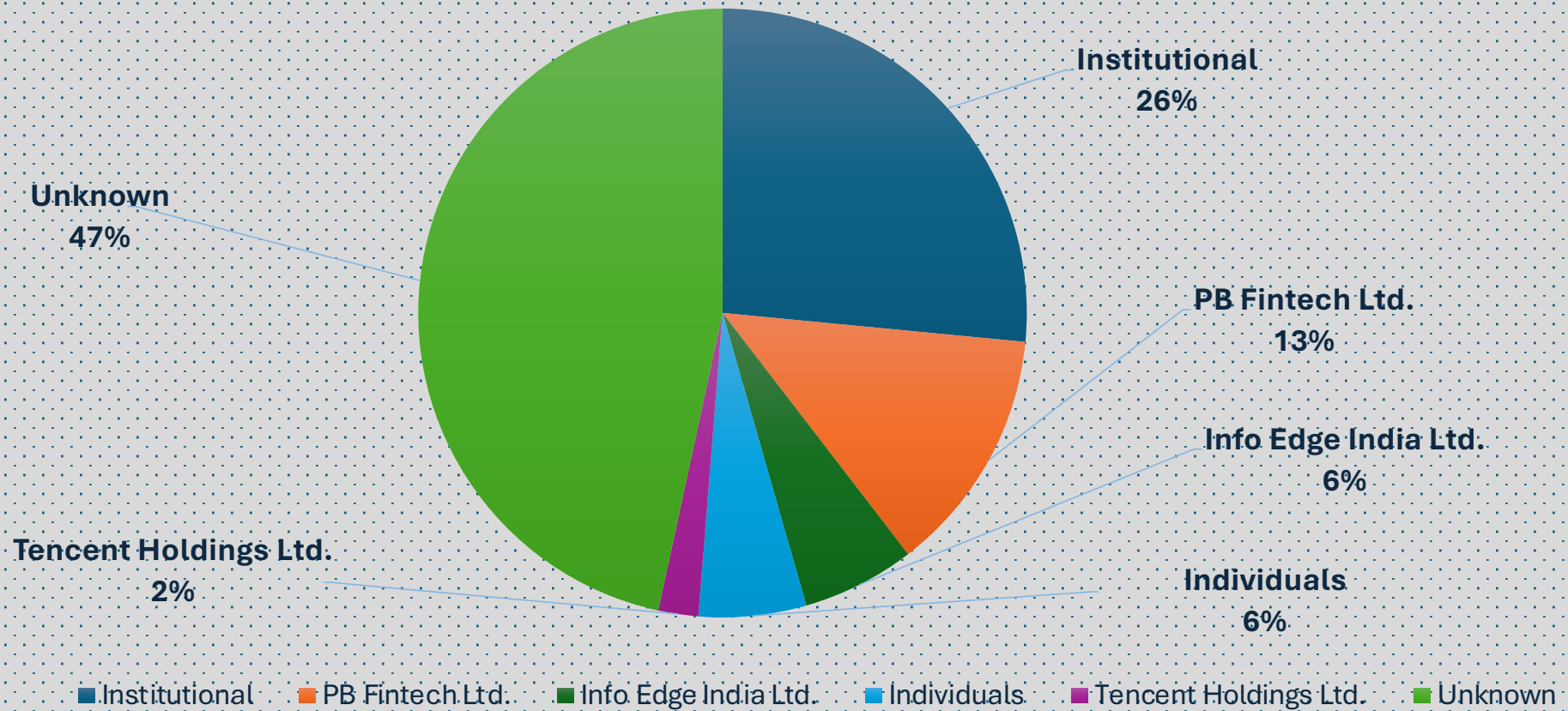
Sources of Innovation

- Adoption of AI, big data analytics, machine learning, blockchain, and emerging digital technologies is transforming underwriting, claims, customer engagement, and personalized product offerings.
- On-demand and micro-insurance models are gaining traction, catering to evolving consumer demands for flexibility and affordability.
- Digital public infrastructure such as UPI, Aadhaar, and e-KYC remains a foundational enabler, together with initiatives like regulatory sandboxes supporting regulatory-friendly innovation.

Challenges

- Regulatory uncertainties, cybersecurity risks, and data privacy concerns continue to pose headwinds, requiring strong governance and trust-building efforts.
- Financial literacy gaps and complicated insurance products hinder deeper market penetration, especially in rural and semi-urban segments.
- Competition is intensifying across segments including digital payments, lending, and insurance, with new entrants pushing innovation but also creating a fragmented market ecosystem.

Shareholding Pie



List of Major Shareholders

Rank	Type	Outstanding Shares (%)	Position (000)	Pos Chg (000) [Recent]	Mkt Val (MM)	% Port	Activism	Report Date	Source
1	Capital Research & Management Co. (World Investors)	4.86	22,317	-277	459	0.04	Very Low	10/31/2025	Sum of Funds
2	SBI Life Insurance Co. Ltd. (Investment Portfolio)	3.36	15,434	1,605	317	0.40	Very Low	09/30/2025	Sum of Funds
3	Axis Asset Management Co. Ltd.	2.94	13,497	-5	278	0.86	Very Low	09/30/2025	Sum of Funds
4	The Vanguard Group, Inc.	2.83	12,993	1,106	267	0.00	Very Low	10/31/2025	Sum of Funds
5	HDFC Asset Management Co. Ltd. (Invst Mgmt)	2.09	9,598	-10	197	0.23	Very Low	09/30/2025	Sum of Funds
6	HDFC Life Insurance Co. Ltd. (Investment Portfolio)	1.88	8,636	805	178	0.71	Very Low	09/30/2025	Sum of Funds
7	Franklin Templeton Asset Management (India) Pvt Ltd.	1.88	8,623	137	177	1.43	Very Low	10/15/2025	Sum of Funds
8	BlackRock Fund Advisors	1.83	8,387	35	172	0.00	Medium	10/31/2025	Sum of Funds
9	Mirae Asset Investment Managers (India) Pvt Ltd.	1.70	7,801	-2,195	160	0.70	Very Low	09/30/2025	Sum of Funds
10	Axis Max Life Insurance Ltd.	1.63	7,472	67	154	59.42	Very Low	12/31/2024	Periodic Shareholder List
11	Schroder Investment Management Ltd.	1.29	5,906	123	121	0.06	Medium	09/30/2025	Sum of Funds
12	Tata Asset Management Pvt Ltd.	1.23	5,643	1,238	116	0.68	Very Low	09/30/2025	Sum of Funds
13	Baillie Gifford & Co.	1.16	5,329	-160	110	0.06	Medium	09/30/2025	Sum of Funds
14	Kotak Mahindra Asset Management (Singapore) Pte Ltd.	0.91	4,200	-3,044	86	1.89	Very Low	12/31/2024	Sum of Funds
15	ICICI Prudential Asset Management Co. Ltd. (Invst Mgmt)	0.90	4,137	1,074	85	0.08	Very Low	10/31/2025	Sum of Funds
-	Insiders / Stakeholders	26.87	1,23,414	2,056	2,537	-	-	-	-
1	Pb Fintech Ltd.	13.04	59,890	0	1,231	100.00	-	12/31/2024	Periodic Shareholder List
2	Info Edge India Ltd.	6.00	27,543	0	566	11.82	-	12/31/2024	Periodic Shareholder List
3	Dahiya Yashish	4.31	19,814	1,439	407	100.00	-	12/31/2024	Periodic Shareholder List
4	Tencent Holdings Ltd.	2.12	9,749	0	200	0.15	-	12/31/2024	Periodic Shareholder List
5	Bansal Alok /Etechaces/	1.40	6,418	617	132	100.00	-	12/31/2024	Periodic Shareholder List

Board of Directors & Senior Leadership

Board of Directors & Senior Leadership	Designation
Yashish Dahiya	Chairman, Executive Director & CEO
Alok Bansal	Executive Vice Chairman & Whole-Time Director
Sarbvir Singh	Executive Director
Kaushik Dutta	Independent Non-Executive Director
Veena Vikas Mankar	Independent Non-Executive Director
Nilesh Bhaskar Sathe	Independent Non-Executive Director
Gopalan Srinivasan	Independent Non-Executive Director
Kitty Agarwal	Non-Executive Non-Independent Director
Lilian Jessie Paul	Independent Non-Executive Director

Key Executives

Name	Designation
Mandeep Mehta	Chief Financial Officer (CFO)
Bhasker Joshi	Company Secretary & Compliance Officer
Rasleen Kaur	Head, Investor Relations

Availability of Historical Financials

Historical financials for PB Fintech are officially available from multiple reliable sources including:

- **PB Fintech's Corporate Website (Investor Relations Section)**
 - Direct access to annual reports, financial statements, and investor presentations:
 - <https://www.pbfintech.in/investors>
- **Regulatory Filings / Stock Exchanges**
 - BSE and NSE websites host quarterly and annual filings from PB Fintech as a listed company.
 - These include balance sheets, profit and loss statements, cash flow, and segment reports.
- **Financial Data Platforms**
 - Sites such as Bloomberg, Moneycontrol, Yahoo Finance, Screener.in, and SimplyWall.st provide summarized financials, key metrics, and historical performance data.
 - Examples: **Moneycontrol PB Fintech Financials:** <https://www.moneycontrol.com/india/stockpricequote/multiline-insurancebrokers/pbfintech/PF14>
 - **Yahoo Finance PB Fintech:** <https://finance.yahoo.com/quote/POLICYBZR.BO/>
- **Financial Market Data Aggregators**
 - Platforms like CompaniesMarketCap, MarketsMojo, and others compile multi-year financial records for listed companies.

These sources provide comprehensive historical financial data such as revenue, profitability, margins, balance sheets, cash flows, segment performance, and key financial ratios covering at least the past five years.

Balance Sheet

Consolidated Balance Sheet

as at March 31, 2025

Particulars	Notes	(₹ in Lakhs)	
		As at March 31, 2025	As at March 31, 2024
ASSETS			
Non-current assets			
Property, plant and equipment	4(a)	12,725	9,116
Right-of-use assets	4(b)	28,385	22,420
Goodwill	5	138	3,771
Other intangible assets	5	535	555
Financial assets			
(i) Investments	6(a)	153,323	93,492
(ii) Trade receivables	6(d)	11,546	1,641
(iii) Loans towards financing activities	6(c)	56	508
(iv) Other financial assets	6(g)	117,942	29,130
Income tax assets (net)	7	40,501	31,577
Other non-current assets	8	2,470	36
Total non-current assets		367,621	192,246
Current assets			
Financial assets			
(i) Investments	6(a)	63,996	42,355
(ii) Trade receivables	6(d)	99,961	63,411
(iii) Cash and cash equivalents	6(e)	56,051	32,486
(iv) Bank balances other than cash and cash equivalents	6(f)	23,262	41,011
(v) Loans	6(b)	2,094	71
(vi) Loans towards financing activities	6(c)	275	465
(vii) Other financial assets	6(g)	133,290	295,741
Other current assets	9	6,391	5,065
Total current assets		385,320	480,605
Total assets		752,941	672,851

Consolidated Balance Sheet

as at March 31, 2025

Particulars	Notes	(₹ in Lakhs)	
		As at March 31, 2025	As at March 31, 2024
EQUITY AND LIABILITIES			
Equity			
Equity share capital	10(a)	9,185	9,024
Other equity	10(c)	634,043	578,079
Equity attributable to owners of PB Fintech Limited		643,228	587,103
Non-controlling interests	10(d)	554	544
Total equity		643,782	587,647
Liabilities			
Non-current liabilities			
Financial liabilities			
(i) Lease liabilities	4(b)	27,557	21,408
Provisions	12	6,474	3,479
Total non-current liabilities		34,031	24,887
Current liabilities			
Financial liabilities			
(i) Lease liabilities	4(b)	4,665	3,925
(ii) Trade payables			
(a) total outstanding dues of micro and small enterprises	11(a)	1,236	1,670
(b) total outstanding dues other than (ii)(a) above	11(a)	35,458	28,436
(iii) Other financial liabilities	11(b)	18,213	14,115
Provisions	12	6,415	4,131
Other current liabilities	13	9,141	8,040
Total current liabilities		75,128	60,317
Total liabilities		109,159	85,204
Total equity and liabilities		752,941	672,851

The above Consolidated Balance Sheet should be read in conjunction with the accompanying notes.

This is the Consolidated Balance Sheet referred to in our report of even date.

Assets and mix:

- Total assets are INR75.3bn/USD880mm in FY2024-25, up from INR67.3bn/USD807mm in FY2023-24, indicating a strong year-on-year expansion of the balance sheet supported by operating scale and cash generation.
- Non-current assets rose to INR36.8bn/USD430mm from INR19.2bn/USD231mm, driven primarily by financial assets (investments and other financial assets), right-of-use assets, and higher deferred tax assets; this shift increases the long-duration asset base relative to FY2023-24.
- Current assets stand at INR38.5bn/USD451mm in FY2024-25 versus INR48.1bn/USD576mm in FY2023-24, with sizeable components in investments, trade receivables, cash and cash equivalents, bank balances, and other financial assets; the rebalancing from current to non-current reflects capital deployment into longer-term instruments and assets.

Equity and funding mix:

- Total equity attributable to owners is INR64.4bn/USD753mm FY2024-25, up materially from INR58.8bn/USD705mm in FY2023-24; retained earnings accretion and robust operating performance strengthen the equity cushion.
- The total debt on the balance sheet (including the short-term and long-term debt) is INR3.2bn/USD38mm at end FY24-25 from INR2.5bn/USD30mm at end FY2023-24.
- In the total funding mix, equity capital accounts for 95.2%, and the debt component accounts for 4.8%. It is expected that as the business becomes mature, the company could opt for higher debt capital, however, at manageable levels.

Investor profile and implications

- The balance sheet is equity-heavy with limited financial leverage, which, combined with positive and rising margins, reduces solvency risk and supports continued investment in growth initiatives and international expansion; this profile is attractive to long-only investors seeking compounding with controlled balance sheet risk.
- The funding mix includes high equity, meaningful operating liabilities, and lease liabilities suggests headroom to deploy selective debt if needed, though the current model appears comfortably self-funded through operating cash flows and treasury management.
- The relatively small goodwill and intangible balances underscore that PB Fintech's competitive advantage lies in distribution scale, data assets, and recurring customer relationships rather than balance-sheeted patents or acquired IP; this typically produces higher cash conversion as renewal/trail revenue compounds without heavy capitalized R&D burdens.
- Overall, PB Fintech's FY2024-25 balance sheet shows a maturing platform: larger non-current financial assets, disciplined current-asset management, strong equity capitalization, moderate lease-related leverage, and low traditional debt—all consistent with a high-margin, asset-light, cash-generative fintech marketplace model at scale.

Revenue model and the Revenue Bridge

PB Fintech's financial journey over the last five years shows a significant change. The company has moved from a stage of heavy losses to one of steady profits, better margins, and strong returns. This change is especially impressive given the fast-changing fintech and insurtech sectors in India, where PB Fintech, which includes Policybazaar, Paisabazaar, and other ventures, has become the clear market leader.

Revenue Growth and Business Expansion

- PB Fintech's total net sales increased from about INR14.2bn/USD187mm in FY2021-22 to INR49.8bn/USD582mm in FY2024-25. This represents a compound annual growth rate (CAGR) of around 36.7%. This rapid growth comes from expanding into new products, more people using digital insurance, branching into fee income from providing lending capabilities from its database of financial institutions, continuing to grow in health and motor segments, and successfully starting operations in the UAE. The company's revenue still mainly comes from insurance marketplace commissions, with significant increases in renewal/trail revenue and lending commissions in recent years.

Consolidated Statement of Profit and Loss

for the year ended March 31, 2025

(₹ in Lakhs)

Particulars	Notes	Year ended March 31, 2025	Year ended March 31, 2024
Income:			
Revenue from operations	14	497,721	343,768
Other income	15	40,773	38,057
Total income		538,494	381,825
Expenses:			
Employee benefits expense	16	195,867	164,412
Finance costs	17	3,383	2,646
Depreciation and amortisation expense	18	12,127	8,872
Advertising and promotion expenses	19	109,013	89,901
Network and internet expenses	20	13,905	11,478
Other expenses	21	169,568	96,603
Total expenses		503,863	373,912
Profit before share of profit/(loss) of associates, exceptional items and tax		34,631	7,913
Share of profit/(loss) of associates		26	(202)
Profit before exceptional items and tax		34,657	7,711
Exceptional items	22	(4,105)	-
Profit before tax		38,762	7,711
Income tax expense :			
Current tax	23(a)	3,446	1,270
Deferred tax	23(a)	-	-
Total tax expense		3,446	1,270
Profit for the year		35,316	6,441
Other comprehensive loss, net of tax			
Items that will not be reclassified to profit or loss			
Remeasurement of post employment benefits obligations loss	12	(705)	(317)
Items that will not be reclassified to profit or loss			
Exchange differences on translation of foreign operations loss	10(c)	(25)	(11)
Changes in the fair value of debt instruments at FVOCI loss		(2)	(7)
Total other comprehensive loss for the year, net of tax		(732)	(335)
Total comprehensive income for the year		34,584	6,106

Consolidated Statement of Profit and Loss

for the year ended March 31, 2025

(₹ in Lakhs)

Particulars	Notes	Year ended March 31, 2025	Year ended March 31, 2024
Profit/(loss) is attributable to:			
Owners of PB Fintech Limited		35,301	6,698
Non-controlling interests		15	(257)
Other comprehensive loss is attributable to:			
Owners of PB Fintech Limited		(731)	(330)
Non-controlling interests		(1)	(5)
Total comprehensive income/(loss) is attributable to:			
Owners of PB Fintech Limited		34,570	6,368
Non-controlling interests		14	(262)
Earnings per equity share [face value per share 2 (March 31, 2024: 2)]			
Basic (₹)	27	7.77	1.50
Diluted (₹)	27	7.65	1.45

The above Consolidated Statement of Profit and Loss should be read in conjunction with the accompanying notes.

This is the Consolidated Statement of Profit and Loss referred to in our report of even date.

Particulars (INR mm)	Actuals				Forecasts			
	FY2021-22	FY2022-23	FY2023-24	FY2024-25	FY2025-26	FY2026-27	FY2027-28	FY2028-29
Fee income - Insurance broker services	11,999	17,099	23,757	30,732	41,525	55,344	73,070	94,824
Core Online Business								
Fee income - Insurance - Policybazaar	11,999	17,099	17,960	25,732	36,025	48,634	64,683	84,088
Fee income - Credit - Paisabazaar	0	0	5,797	5,000	5,500	6,710	8,388	10,736
New Initiatives	2,250	8,480	10,620	19,040	27,608	38,651	52,179	69,398
Total Revenue	14,249	25,579	34,377	49,772	69,133	93,995	1,25,249	1,64,222
	-	-	-	-	-	-	-	-
Fee income - Insurance broker services		42.5%	38.9%	29.4%	35.1%	33.3%	32.0%	29.8%
Core Online Business								
Fee income - Insurance - Policybazaar		42.50%	5.04%	43.27%	40.0%	35.0%	33.0%	30.0%
Fee income - Credit - Paisabazaar		NA	NA	-13.7%	10.0%	22.0%	25.0%	28.0%
New Initiatives		276.9%	25.2%	79.3%	45.0%	40.0%	35.0%	33.0%
Total Core Revenue		79.51%	34.40%	44.78%	38.90%	35.96%	33.25%	31.12%

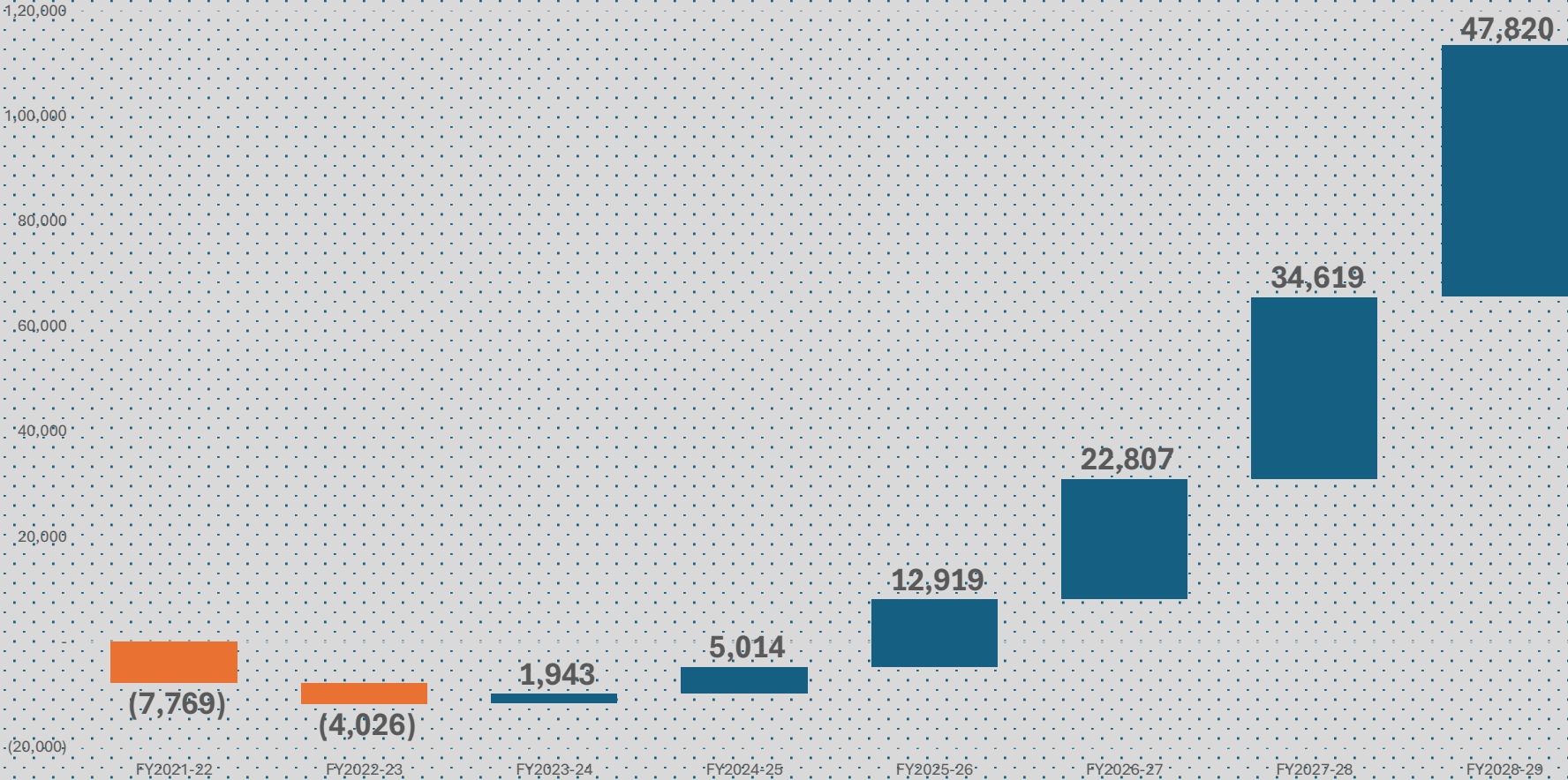
Particulars (USD mm)	Actuals				Forecasts			
	FY2021-22	FY2022-23	FY2023-24	FY2024-25	FY2025-26	FY2026-27	FY2027-28	FY2028-29
Fee income - Insurance broker services	157	208	285	359	467	622	821	1,065
Core Online Business								
Fee income - Insurance - Policybazaar	157	208	215	301	405	546	727	945
Fee income - Credit - Paisabazaar	0	0	70	58	62	75	94	121
New Initiatives	29	103	127	223	310	434	586	780
Total Revenue	187	311	412	582	777	1,056	1,407	1,845
	-	-	-	-	-	-	-	-
Fee income - Insurance broker services		32.3%	36.9%	26.1%	29.9%	33.3%	32.0%	29.8%
Core Online Business								
Fee income - Insurance - Policybazaar		32.3%	3.5%	39.7%	40.0%	35.0%	33.0%	30.0%
Fee income - Credit - Paisabazaar		NA	NA	-15.9%	10.0%	22.0%	25.0%	28.0%
New Initiatives		249.8%	23.4%	74.8%	45.0%	40.0%	35.0%	33.0%
Total Core Revenue		66.6%	32.5%	41.1%	33.5%	36.0%	33.3%	31.1%

- PB Fintech's total revenue was around INR14.2bn/USD187mm, with insurance broker services alone contributing INR12.0bn/USD157mm in FY2021-22.
- Over the subsequent years, revenue increased sharply to INR49.7bn/USD582mm in FY2024-25.
- This growth is mainly driven by the core online insurance business (Policybazaar) and increasing contributions from credit (Paisabazaar) and new initiatives (digital payments, health tech, etc.).
- The management has started to diversify its revenue's sole reliance from insurance broking segment towards credit fees and other new initiatives.
- New initiatives grew rapidly from INR2.2bn/USD29mm in FY2021-22 to INR19.0bn/USD223mm in FY2024-25, showcasing the focus on expanding product lines and services.

- For our analysis and forecasts, the data on internet penetration shows the internet consumption by 55.3% of the population so far in 2025. The insurance penetration is just a mere 3.7% of the total GDP. As the financial awareness increases, and the current usage of internet, it is expected that consumers will start opting for life and health insurance.
- Based on the management insights on the industry, and the inputs on growth, we have estimated a growth rate of 40.0% from the insurance premiums business for FY2025-26, 35.0% from the insurance premiums business for FY2026-27, 33.0% from the insurance premiums business for FY2027-28, and 30.0% from the insurance premiums business for FY2028-29.
- PB's new initiatives have become an important growth lever, contributing 38% of its FY25 revenues (vs 33% in FY2022-23). The Point of Sales Person (POSP) premiums is expected to see a 26% CAGR over FY25- 28E. The UAE business can deliver ~50% CAGR on a smaller base. While corporate premiums can grow meaningfully on a small base, the growth will be non-linear, given the lumpy nature of the business. Given the strong top line growth will drive operating leverage, the EBITDA will remain positive with the margins expected to be stronger at 17.5% at the end of FY2025-26E, and stay at 28% levels by FY2028-29E.
- The company's total policies sold were at 55.6mm, has shown an average growth of 5% over the past 9 quarters, and we expect the number of policies sold could increase by 7% over the next few quarters.

EBITDA Waterfall Structure

■ Increase ■ Decrease ■ Total



Margins

Particulars (INR mm)	Actuals				Forecasts			
	FY2021-22	FY2022-23	FY2023-24	FY2024-25	FY2025-26	FY2026-27	FY2027-28	FY2028-29
EBITDA Margins	-50.1%	-14.3%	5.1%	9.3%	17.5%	23.1%	26.4%	28.0%
EBIT Margins	-52.9%	-16.6%	2.8%	7.1%	14.6%	20.7%	24.5%	26.3%
EBT Margins	-53.8%	-17.3%	2.1%	6.4%	13.8%	19.6%	23.0%	24.2%
PAT Margins	-58.5%	-19.1%	1.9%	7.1%	13.4%	18.8%	21.9%	23.0%
Return on Equity (ROE)	-15.4%	-9.0%	1.1%	5.7%	13.4%	21.4%	26.1%	27.4%

- **EBITDA Margin (Earnings Before Interest, Taxes, Depreciation, and Amortization)**

- During FY2021-22, the EBITDA margin was -50.1%, indicating very high levels of operating losses typical for digital-first, scale-seeking platforms investing aggressively in product, marketing, and technology. During FY2022-23, the EBITDA margin improved to -14.3%, reflecting cost controls and greater operating leverage as revenues ramped. However, from FY2023-24, the company turned positive with 5.1%, a significant inflection point driven by the growth of high-margin renewal/trail revenue. In FY2024-25, the margin expanded further to 9.3%.
- Margins are projected to rise sharply to 17.5% in FY2025-26, then 23.1%, 26.4%, and 28.0% in the subsequent years. This signals continuing efficiency gains, scaling advantages, and less reliance on steep customer acquisition spends.

- **EBIT Margin (Earnings Before Interest and Tax)**

- Between FY2021-22 to FY2022-23, the EBIT margins were heavily negative (-52.9% to -16.6%). However, during FY2023-24 to FY2024-25, it turned positive (2.8% to 7.1%).
- The EBIT margins are expected to rise to 14.6% in FY2025-26 and surpass 26% by FY2028-29, reflecting increasing operating profit against revenue.

- **Return on Equity (ROE)**

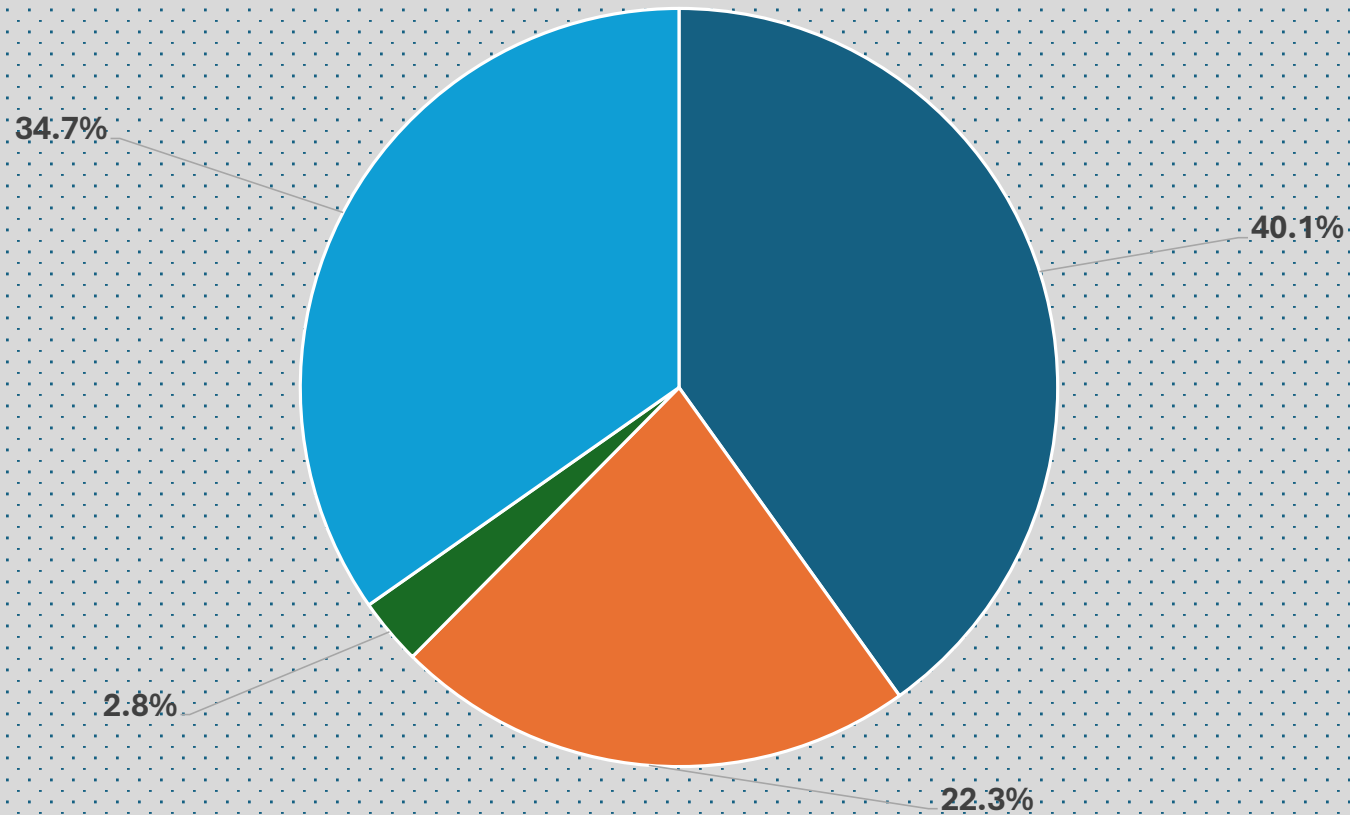
- ROE was sharply negative during the high-growth, investment-heavy early phase (-15.4% in FY2021-22, and -9.0% in FY2022-23). However, it turned positive in FY2023-24 (1.1%) and increased to 5.7% in FY2024-25.
- ROE is projected to accelerate to 13.4% in FY2025-26, and to 27.4% by FY2028-29. This performance signals increasing return for shareholders, strong profit retention, and efficient capital utilization typical of mature, profitable technology platforms.

Strategic Implications

Strategic and Operational Implications

- **Transition to Profitability:**
 - PB Fintech has completed its transition from aggressive loss-leader growth to operational profitability and efficiency—a trajectory that is widely sought in the Indian fintech/platform space.
- **Margin Expansion:**
 - The escalation in margins at every P&L level signals exceptional execution, robust business model, and growing contribution from scalable, high-margin segments such as renewals, ecosystem products, and new initiatives.
- **Shareholder Value Creation:**
 - ROE forecast signals that PB Fintech is poised to become a leading value generator for shareholders, reflecting industry best-practice capital allocation and returns after years of negative performance.
- In summary, PB Fintech's actuals and forecasts for EBITDA, EBIT, EBT, PAT margins, and ROE reveal a full-cycle transformation from high investment and loss to sustainable high-margin operating growth and strong shareholder return—positioning it as a benchmark company in the Indian fintech and insurtech sector.

Total Expenses Chart



■ Employee benefits expense

■ Advertising and promotion expenses

■ Network and internet expenses

■ Other expenses

Management Guidance on Margins

- In the latest 2QFY26 call and in the materials, management reported adjusted EBITDA of INR1.6bn/USD17.5mm with an ~10% margin for the quarter. This represents an increase from about 5% compared to the previous year. The management has stressed that contribution margins are structurally higher as renewals increase and post-sale service becomes more efficient.
- The contribution margin for 2QFY26 was around 29% overall and about 45% for the core online business. Management presented this as the driving force for future EBITDA growth as renewal ARR increases and marketing levels stabilize.
- Renewal/trail revenue ARR reached roughly INR7.6bn–INR7.7bn in 2QFY26. Management described this as generating 80%+ margin revenue, which supports multi-year EBITDA and PAT growth, even if new business cycles stabilize.
- Management also mentioned that the UAE business has been profitable for three consecutive quarters. New initiatives are reducing losses, which is expected to improve consolidated margins over time as scale develops.
- PB Fintech points to sustained revenue growth in the mid-30s or higher with margin accretion, supported by the renewal flywheel and tighter cost discipline, although management continues to prioritize growth with profitability rather than a margin-only focus.
- With core revenues showing a healthy growth as per our estimates, we believe, the EBITDA margins could be in the range of 17.5% to 28.0% between FY2025-26 to FY2028-29.

Business Risks (Upside and Downside)

Key upside drivers:

- **Compounding renewals:** Renewal and trail commissions in insurance keep increasing with the in-force book. This lifts margins even if new business growth levels off. Recent quarters show rising renewal ARR and PAT margin growth.
- **Distribution depth and channel breadth:** PB Partners' expanding advisor network, which spans over 19,000 Zip codes, offers options in Tier 4 to 5 markets. This improves access and conversion while reducing blended acquisition costs over time.
- **International scale-up:** The UAE has seen multiple profitable quarters with over 60% premium growth. This provides earnings diversification and a model for expanding into nearby GCC markets where digital penetration is still low.
- **Regulatory policy support in the long run:** Despite short-term fluctuations, Insurance Regulatory and Development Authority of India (IRDAI's) multi-year plan to increase insurance penetration and digitization should expand the overall market, supporting revenue growth of high teens to 30% as projected by street consensus through 2026.

Principal downside risks:

- **Commission and EoM pressure:** Any directive or market-led effort to cut distributor commissions or limit insurer management expenses can reduce aggregator take-rates. Headlines in 2025 about cutting commissions caused share price fluctuations and remain a structural concern for the model.
- **Policy architecture shifts (Bima Sugam):** A government-backed unified marketplace, if strongly promoted, could bypass private aggregators and change customer acquisition dynamics and pricing power over time.
- **Tax and compliance changes:** Changes in GST rules, including reduced input credit for insurers, can affect distribution economics, putting pressure on commission pools and margins throughout the value chain.
- **Credit business cyclicity:** Paisabazaar revenues have seen periods of decline. A tighter credit cycle or lender risk aversion can slow fee income growth and increase customer acquisition costs, delaying gains in margin driven by mix.
- **Execution complexity in new initiatives:** Health services and other related areas can require more capital or operational resources than the core marketplace. This raises the risk of lowering consolidated margins if scaling takes longer than expected.
- **Competitive intensity:** Banks, insurers' direct channels, and digital-native challengers keep investing in digital distribution. This could increase traffic and ad costs while reducing take-rates in some product lines.

Valuation based on the ROE Method

Valuation - Choice of COE v ROE

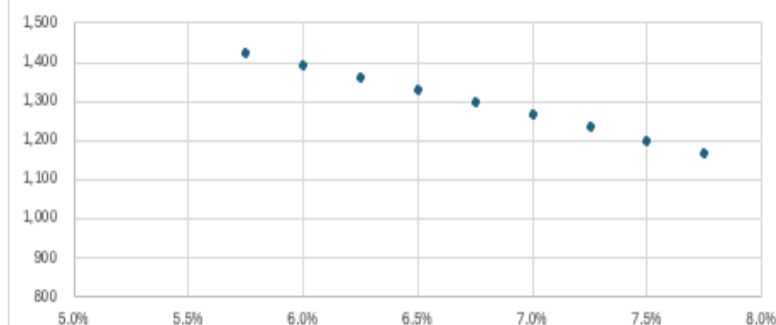
INR'mm	FY2022-23	FY2023-24	FY2024-25	FY2025-26
EBITDA	1,943	5,014	12,919	22,807
Net Income	644	3,532	9,241	17,646
Growth %		448.3%	161.7%	91.0%
ROA %	1.0%	5.0%	11.4%	18.2%
ROE %	1.1%	5.7%	13.4%	21.4%
Liabilities total	7,692	8,520	10,916	12,880
Total equity	54,848	58,765	64,378	73,619
Total assets	62,540	67,285	75,294	86,499
Growth %	5.7%	7.6%	11.9%	14.9%



INPUT FOR VALUATION

India G-Sec 10YRYLD	6.5%								
ROE	10.4%								
Equity charge (%)	5.8%	6.01%	6.26%	6.51%	6.76%	7.01%	7.26%	7.51%	7.76%
Equity value (\$M)	1,418	1,387	1,355	1,323	1,291	1,260	1,228	1,196	1,164

Equity value estimate (\$M) plotted against the choice of discount rate (%)



In USD (mm)

Total equity	54,848	58,765	64,378	73,619
	667	705	753	827

The image in the previous slide shows the core of the valuation:

Input for Valuation:

- **India G-Sec 10Yr YLD (Yield): 6.5%** - This is a common benchmark for the risk-free rate in India.
- **ROE: 10.4%** - This is a key input for the valuation, an average of the ROE for four years, and is the metric being compared to the Cost of Equity.
- **Equity charge (%): 5.8%** - This represents a specific required return or hurdle rate used in the valuation model.
- **Equity value (\$M): 1,418** - This is the resulting equity valuation based on the specific inputs mentioned (likely using the 10.4% ROE).
- **Equity Value Sensitivity (Right Table & Chart):**
 - The table and scatter plot show how the calculated Equity value estimate (\$M) changes based on a range of different discount rates (%) (Cost of Equity).
 - As the discount rate increases (from 5.0% to 7.76%), the calculated **Equity value decreases** (from \$1,418M to \$1,164M). This illustrates the fundamental principle of finance: a higher required rate of return leads to a lower present value of future cash flows, thus a lower valuation.
 - The chart titled "Equity value estimate (\$M) plotted against the choice of discount rate (%)" visually confirms this **inverse relationship**—the line slopes downwards as the discount rate increases.

Discounted Cash Flow (DCF) Method of Valuation

	1	2	3	4
Particulars (in INR mm)	FY2025-26	FY2026-27	FY2027-28	FY2028-29
Operating Profit	12,919	22,807	34,619	47,820
Depreciation & Ammortizatic	2,180	2,369	2,594	2,835
Tax	902	1,722	2,673	3,678
CAPEX	832	832	832	832
Change in Working Capital	15,266	9,615	29,947	46,737
Free cash flow	1,567.02	18,114.63	10,771.12	8,427.47
NPV of FCF	1,567.02	18,114.63	10,771.12	8,427.47
Terminal Value				11,10,999
Growth rate %	5%			
Stage 1 value	38,880			
Stage 2 value	11,10,999			
Total	11,49,878.81			
NPV/share (in INR)	2,514.81			
Upside/Downside	41.0%			
No. of shares (in mm)	457.24			
Current Price (in INR)	1,784.00			

WACC	6.10%
Risk free rate	6.52%
Market risk premium	3%
Beta	1.90
Cost of Equity	5.8%
Cost of Debt	10%
After tax cost of debt	10%
E/V	93%
D/V	7%

	1	2	3	4
Particulars (in USD mm)	FY2025-26	FY2026-27	FY2027-28	FY2028-29
Operating Profit	145	256	389	537
Depreciation & Ammortization	24	27	29	32
Tax	10	19	30	41
CAPEX	9	9	9	9
Change in Working Capital	172	108	336	525
Free cash flow	17.61	203.54	121.02	94.69
NPV of FCF	17.61	203.54	121.02	94.69
Terminal Value				12,483
Growth rate %	5%			
Stage 1 value	437			
Stage 2 value	12,483			
Total	12,919.99			
NPV/share (in USD)	28.26			
Upside/Downside	41.0%			
No. of shares (in mm)	457.24			
Current Price (in USD)	20.04			

WACC	6.10%
Risk free rate	6.52%
Market risk premium	3%
Beta	1.90
Cost of Equity	5.8%
Cost of Debt	10%
After tax cost of debt	10%
E/V	93%
D/V	7%

- PB's valuation multiples have come off by ~30% over the past 12 months and currently trade at 58x/37x/27x FY27/28/29E adj. EV/EBITDA. We believe the high growth in the medium term (~23% over FY25-30E) and longer growth runway due to its dominant positioning in the digital segment are driving these valuation multiples. We use a two-stage DCF model to arrive at a fair value of INR 2,514.8/share/ USD28.3 per share, with the following assumptions: (1) high growth phase over FY25-30E, with a revenue CAGR of 23% and adj. EBITDA margin expansion from 17.5% to 28.0%; and (2) WACC of 6.1% (led by Rfr of 6.5%, ERP of 3%).

Peer Comparison

Mcap			P/E (x)				EV/Sales (x)				EV/EBITDA (x)			
Global peers	Country	(USD bn)	CY24	CY25E	CY26E	CY27E	CY24	CY25E	CY26E	CY27E	CY24	CY25E	CY26E	CY27E
PB Fintech*	India	9.3	244	133	84	56	15.4	11.4	8.6	6.6	648.3	162.9	71.6	43.7
Peers														
Online brokers														
Goosehead	US	3.1	71	46	34	25	10.2	8.9	7.2	5.8	31.6	29.8	22.3	16.8
MoneySuper Market	UK	1.5	14	11	11	10	2.5	2.5	2.4	2.3	7.7	7.6	7.3	6.9
EverQuote	US	0.9	27	18	14	11	1.5	1.2	1.1	1.0	13.0	8.6	7.6	6.5
AUB Group	Australia	2.6	26	18	17	15	2.7	2.5	2.4	2.3	6.9	7.2	6.8	6.6
Mean			34	23	19	16	4	4	3	3	15	13	11	9
Traditional brokers														
Marsh & McLennan	US	100.2	23	21	20	18	4.9	4.4	4.2	4.0	18.0	15.5	14.4	13.4
Aon PLC	UK	79.9	28	22	19	17	6.2	5.6	5.3	5.0	17.1	16.9	15.5	14.3
Arthur J Gallagher	US	76.7	38	27	22	20	6.5	5.4	4.4	4.0	20.9	16.2	13.2	11.8
Brown & Brown	US	31.3	28	23	20	18	7.2	5.9	4.7	4.4	20.4	16.9	13.5	12.3
Ryan Specialty	US	14.3	37	26	22	19	7.1	5.8	5.0	4.3	21.6	17.7	14.8	12.4
TQM Corp	Thailand	0.3	10	10	10	9	2.3	2.3	2.2	2.1	6.8	7.7	7.4	7.6
Mean			27	22	19	17	6	5	4	4	17	15	13	12

Source: Bloomberg

Conclusion

Over FY25-28E, we expect EBITDA to jump >3x on strong growth/margins expansion (from 17.5% to 28%) driven by a growing share of higher-margin renewal business and new initiatives breaking even on moderating competitive intensity and operating leverage. Valuations at the mature stage (FY28-30E) appear attractive compared to global peers, especially considering its better growth/competitive positioning. We initiate at BUY with TP of INR 2,514.8/USD28.3 (based on a DCF analysis). The key risks include regulatory changes & competition. We believe that the penetration of 5G internet across the country, and the need for life and health insurance increases, the accessibility to these financial products increases and PB Fintech stands to gain from the sizeable market positioning through strong revenue growth and stable profitability metrics.